

Budget and Variance Analysis Guide

Sample finance knowledge document for Copilot Studio demonstrations.

Notice: Fictional training content only. Replace with approved company documents before production use.

Key terms

- Budget: approved financial plan for a defined period.
- Actuals: recorded transactions for that period.
- Forecast: estimate of future results.
- Variance: difference between actual results and budget or forecast.

Basic calculations

- Variance amount = Actual amount – Budget amount.
- Variance percentage = $(\text{Actual} - \text{Budget}) \div \text{Budget} \times 100$, when budget is non-zero.
- Explain whether a variance is favorable or unfavorable according to the metric and company convention.

Example

- Illustrative only: budget 100,000; actual spend 112,000; variance 12,000 over budget; variance percentage 12%. This is not company data.

Reporting cautions

- Confirm reporting period, currency, organizational unit, and data source.
- Separate verified causes from hypotheses.
- Do not call a report audited or approved unless the source confirms it.

Finance Agent rule: Answer only from approved knowledge and verified connected-system results. If a policy, amount, deadline, transaction status, or approval is not specified, say so and direct the user to the authorized Finance team.